



“It’s a time of cautious optimism; effectively, capital deployment in a period of slowdown has usually been cautious despite dry powder build-up”

Sai Deo
PARTNER,
BAIN & COMPANY

crackdown on tech. Though the US will continue to host a bulk of the allocation for global LPs, India as a destination for investments looks a lot brighter for their emerging market and Asia allocations.

“I feel when the next fundraise cycle [for VCs] comes up, which will probably be in the second half of next year, we might see a lot of new, first-time LPs coming into India. We’ve seen that indication from some global LPs—who had missed India so far or who have consciously not done India—holding very positive views towards India,” says Rohan Paranjpey, MD, Head-Alternative Investments, Waterfield Advisors. Waterfield manages a ₹540-crore Fund of Funds that invests in VCs as

an LP and also co-invests with them.

Paranjpey adds that a lot more family offices are readying to jump into the start-up investing game as they’re seeing lower valuations, moderate pace of deal closing, and more opportunities to invest or co-invest with experienced GPs.

At the same time, the risk-to-reward ratio is better in US private assets today. So, US-based VC money is likely to stay there for some time. It means GPs in India will have to dig deeper into their own pockets to play stronger. In a downturn, the dry powder will find its way to portfolio firms first before exploring newer opportunities. “Our first companies out of Fund IV, which are less than a year old, are now beginning to get up-rounds, about four or five of them. I believe in these companies and the founders. I would put more reserves of mine into those companies. You start seeing this behaviour from Sequoia downwards; everyone is going to double down on their portfolios whenever they can,” says Reddy.

Some new investment patterns are also beginning to appear. VCs are leveraging their capital to write larger cheques for fewer firms. Also, secondary transactions (where a VC firm buys a start-up stake from another investor) are picking up as early investors open up to exits, even at discounts, to give returns to their LPs, while larger investors are taking this opportunity to maximise ownership in their portfolio.

At more advanced stages of funding, expectation gaps on the start-ups’ valuations still prevail. Consequently, the deals have slowed down in the later stages—such as series C, D, E and beyond—where sharp corrections are required. Unless start-up boards reconcile to market realities and accept deals that may involve down/flat rounds or M&As,

investors are likely to sit out. The buyer-seller expectations are gradually being corrected in series A and B stages, and transactions are beginning to pick up there. At seed stages, deal activity is about 80-90 per cent of last year; however, investors have more time for due diligence now.

LOOKING AHEAD

Experts say that most corrections will happen over the next 12 months. Firms that raised massive amounts of capital over the past 18-24 months would wait for another 12 months before hitting the market again. They will begin raising rounds at flat valuations or small premiums. The other set of firms are those running out of cash. They are expected to be a lot more active in the first half of the year. Some of these firms would readily accept down rounds to survive, while some will look for potential M&A suitors, and some may even fold up.

Sai Deo, Partner at Bain & Company, expects VCs to earmark a portion of their dry powder to ensure sufficient runway or M&A support for well-performing portfolio firms while some of that capital will be utilised for opportunistic deals across stages.

However, citing the funding downturns in 2001 and 2008—when large funds were raised, but not deployed fully due to reasons such as depth of quality assets, time taken for valuations to correct and LPs maintaining caution as realisations from prior deployments slowed down due to unattractive exits—Deo says it will be a time of cautious optimism for VCs as well as start-ups. “Effectively, capital deployment in a period of slowdown has usually been cautious despite dry powder build-up,” she says. **BT**

@binu_t_paul